OCAD - ONE COMPANY A DAY

SERIES: FINANCIAL

Mastercard Incorporated

MA | NYSE

USD 589.14 per share

Closing price, Friday 9 October 2026, latest completed trading day



MA daily closing price, 10 July 2026 to 9 October 2026, USD per share. Source: Alpha Vantage, daily price series, to 9 October 2026.

REPORT DATE	ANALYST	SERIES	EXCHANGE
11 October 2026	Arthur Faugeron	Financial	NYSE

Executive Summary

Mastercard is a toll collector on global card spending: it earns a small fee on each of roughly 10.6 trillion USD of annual purchase volume while bearing almost no credit risk. That structure produced a 59.9% operating margin on 35.1 billion USD of trailing revenue, and the stock at 589.14 USD already capitalises that quality at 32.4 times trailing earnings.

Business

Mastercard operates a four-party payments network and sells data, security, and processing services on top of it. Net revenue for 2025 was 32.8 billion USD, split in the fourth quarter between payment network (55.9%) and value-added services and solutions (44.1%). Customers are banks, merchants, fintechs, and governments, and the company operates in more than 90 countries; about 70% of GDV originates outside the United States.

Financial Condition

Revenue grew 16.4% in 2025 and 16.0% over the twelve months to June 2026 (35.1 billion USD). Operating income was 21.0 billion USD (59.9% margin), net income 16.3 billion USD, operating cash flow 17.4 billion USD and free cash flow 16.7 billion USD on a trailing basis. Net debt is 12.9 billion USD, or 0.6 times trailing EBITDA, and ROIC is 93.8% as reported by the data provider.

Market Position

Visa is the only peer of comparable scale; American Express, Discover, JCB, China UnionPay, and national real-time systems such as PIX and UPI make up the rest of the field. The main advantage is a two-sided network effect that has held a 59.9% margin through a decade of regulatory pressure. The main weakness is regulatory exposure to interchange caps, surcharging rules, and national payment schemes that bypass the card rails.

Valuation

Market capitalisation is 516.1 billion USD and enterprise value 529.0 billion USD. Trailing P/E is 32.4 times, forward P/E 27.7 times, EV/EBITDA 23.8 times, P/FCF 30.9 times, and EV/Sales 15.1 times. All three earnings-based multiples sit 8 to 14 percent below their 2021 to 2025 year-end averages.

Investment Framework

WHAT IS ATTRACTIVE	Revenue compounding at 14.8% a year (2021 to 2025) with 17.2% annual operating income growth, more than 100% cash conversion, and a share count that has shrunk 10.5% since 2021.
WHAT IS CONCERNING	Growth is decelerating on a base that is now 35 billion USD, the stock has returned 2.3% over the last year against 17.6% for the S&P 500 proxy, and regulation is moving in several jurisdictions at once.
WHAT MUST GO RIGHT	Value-added services must keep growing near 20% so that mix offsets slower payment network growth, and cross-border volume must stay near 12% growth.
WHAT COULD BREAK THE THESIS	A binding cap on interchange or cross-border fees in a large market, or sustained share loss to account-to-account rails.
PRICED IN	The base case discounted cash flow value of about 608 USD per share is close to the market price, so the market appears to price roughly 11 to 13 percent revenue growth fading to 5 percent by 2035, with free cash flow near 47% of revenue.

Investment Profile

ASSESSMENT BY DIMENSION

Dimension	Assessment
Business quality	Exceptional. Asset-light network with negligible credit risk and 63% EBITDA margin (2025, calculated).
Financial quality	Exceptional. Free cash flow exceeded net income in each of the last five years (1.04 to 1.15 times).
Competitive position	Very strong. Duopoly in global open-loop networks, with scale and issuer relationships hard to replicate.
Growth profile	Strong but slowing. Revenue growth of 12 to 16 percent; guidance for 2026 is the high end of low double digits.
Balance-sheet risk	Low. Net debt 0.6 times EBITDA, but negative tangible equity from buybacks.
Valuation	Full. Premium to the market and to payment peers outside Visa, below its own five-year average.
Market and technical profile	Constructive. Price above both the 50-day and 200-day averages, near a 601 USD resistance zone.

Source: analyst assessment based on the data in this report.

A. About the Business

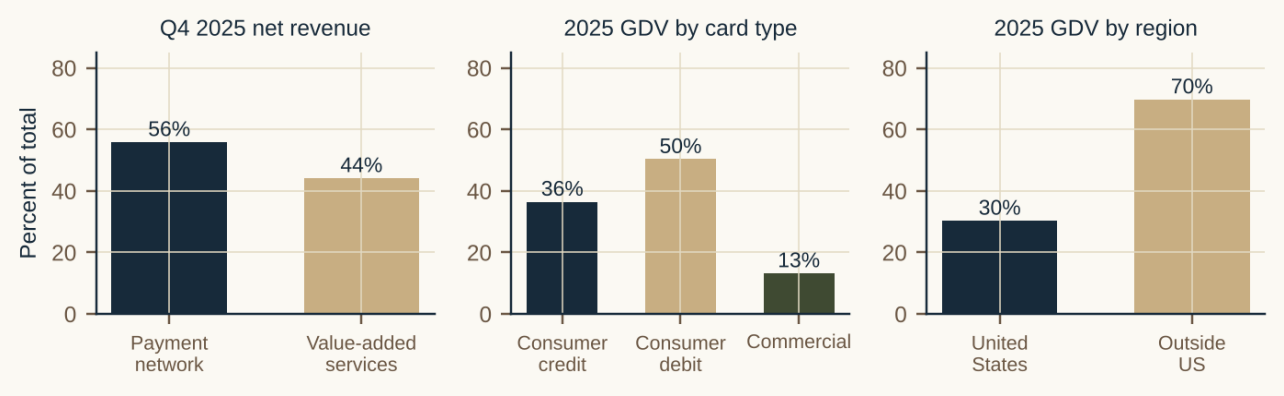
A1. Business Environment

Mastercard operates in the global payments industry, specifically card-based payment networks. A purchase passes through five parties: the cardholder, the issuing bank that extends credit or holds the deposit, the merchant, the acquirer that services the merchant, and the network that routes the message, clears the transaction, and sets the rules. The network sits in the middle and is paid per transaction and per dollar of volume, without funding the loan or the merchant.

The industry is large and slowing. McKinsey estimates global payments revenue at 2.6 trillion USD in 2025, having grown 11 percent a year through 2024 and only 3 percent in 2025, with 4 percent a year projected for 2025 to 2030. Mastercard captured 32.8 billion USD of that pool, or about 1.3 percent, which shows how thin a slice the network takes of the total revenue that banks, acquirers, and processors share. Value is created where trust, scale, and data meet; it is captured by the network and the largest issuers, while merchants pay and consumers receive rewards funded by interchange.

Capital intensity is low (capital expenditure was 1.5 percent of revenue in 2025), the business is mildly cyclical because fees scale with consumer and commercial spending, and it is heavily regulated. The industry is mature in developed markets and growing in emerging markets, and it is structurally transforming: McKinsey describes payment systems splitting into competing regional rails and identifies agentic commerce as a risk to roughly 75 billion USD of 2030 revenue across the industry.

Revenue mix and volume mix



Source: Mastercard, fourth quarter 2025 earnings release and 2025 Form 10-K. Units: percent of total. Mastercard-branded GDV for 2025 was 10.6 trillion USD.

INDUSTRY STAGE: MATURE CORE, GROWING PERIPHERY, STRUCTURALLY TRANSFORMING

> Card volume in developed markets is mature and tracks nominal consumption, while cross-border travel, commercial payments, and emerging markets provide growth. Value-added services such as fraud, identity, and data analytics are growing about twice as fast as the network itself. Regional account-to-account rails are the transforming force.

A2. What Does the Company Do?

A new employee should think of Mastercard as a rulebook, a switch, and a services business. The rulebook defines how banks issue cards and how merchants accept them. The switch authorises, clears, and settles transactions, processing 175.5 billion in 2025. The services business sells fraud scoring, tokenisation, data, loyalty, open banking, and cyber-intelligence to the same customers.

Revenue falls into two categories. Payment network revenue comes from assessments on gross dollar volume, cross-border volume fees, and per-transaction processing fees, net of rebates and incentives paid to issuers and merchants. Value-added services and solutions revenue is largely contractual or usage-based, and in the fourth quarter of 2025 was 3.9 billion USD, 44.1 percent of net revenue. Customers pay in the currency of their market, and cross-border and currency-conversion activity earns a higher fee than domestic activity. The cost base is dominated by people: workforce cost was 7.3 billion USD in 2025 for about 39,800 employees, which is 22 percent of revenue.

How one dollar of revenue is used

Using the twelve months to June 2026 (35.1 billion USD of revenue), about 40 cents goes to operating costs, 60 cents is operating income, roughly 47 cents becomes free cash flow after tax, interest, and working capital, and 46 cents is net income. The business returned 14.5 billion USD, 85 percent of 2025 free cash flow, to shareholders. The most economically important elements are the scale of volume, which spreads fixed technology cost over 175 billion transactions, and the rebates and incentives line, which is the price Mastercard pays to keep issuers on its network. Rebates grew 22 percent in the second quarter of 2026, faster than payment network revenue (10 percent), so the cost of defending share is rising.

1. CUSTOMER
Issuing banks, acquirers, merchants, fintechs, governments

2. PRODUCT AND SERVICE
Network, cross-border, processing, fraud, data, identity

3. REVENUE
35.1 bn USD TTM; network about 56 percent, services about 44 percent

4. COSTS
40 cents per USD: people, technology, marketing, depreciation

5. OPERATING PROFIT
59.9 percent margin, 21.0 bn USD TTM

6. CASH FLOW
Operating cash flow 17.4 bn USD, free cash flow 16.7 bn USD

7. CAPITAL ALLOCATION
Buybacks 12.0 bn USD, dividends 2.8 bn USD in 2025

A3. Business and Relationship Network

ECOSYSTEM MAP

Node	Relationship	Why it matters economically
Issuing banks	Largest customers; issue 3.7 billion Mastercard and Maestro cards	Control the consumer relationship and can shift volume to rivals at contract renewal, so incentives are paid to win and retain them.
Acquirers and merchants	Accept cards and pay merchant discount fees	Merchants fund interchange; their lobbying drives caps and surcharging rules.
Fintechs and wallets	Apple Pay, Google Pay, PayPal and others, tokenised on Mastercard rails	Extend reach and reduce friction; also risk disintermediating the brand.
Technology partners	Cloud, data centres, processing, cyber vendors	Network uptime and security are the product; failure would be a franchise event.
Governments and central banks	Regulators, public disbursement and local switch programmes	Source of both new volume (national programmes) and regulatory risk (interchange caps, domestic scheme mandates).
Acquired businesses	Recorded acquisitions of 2.5 billion USD in 2024 and 4.4 billion USD in 2021	Add identity, open banking, and cyber capability to value-added services; goodwill is 9.5 billion USD.
Shareholders	Institutions hold 89.5 percent; insiders 0.03 percent	Widely held; management has little personal ownership.

Source: Mastercard 2025 Form 10-K and 2Q26 earnings release; StockAnalysis, 9 October 2026 (ownership); cash flow statement (acquisitions).

A4. Competition

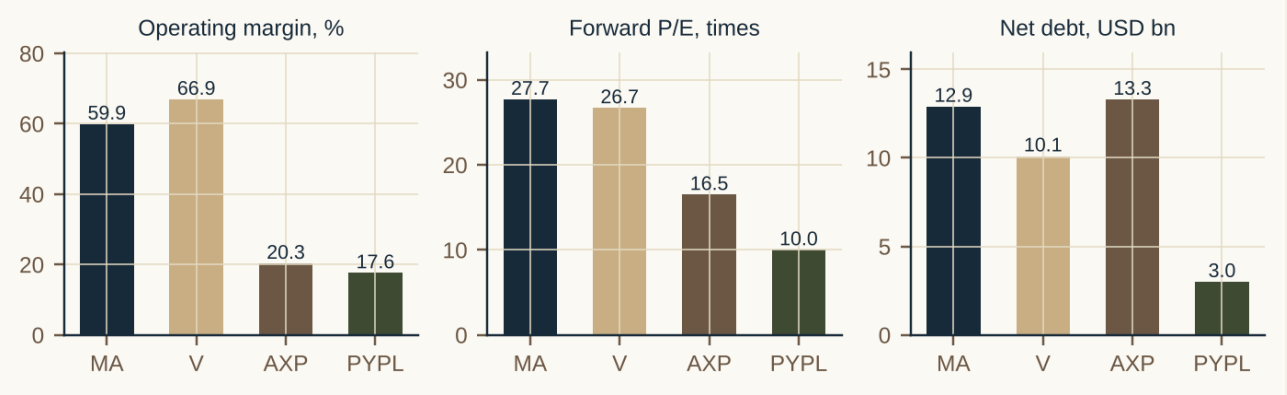
COMPETITIVE COMPARISON, USD, TRAILING TWELVE MONTHS TO LATEST REPORTED QUARTER

Company	Revenue	Op. margin	EV/EBITDA	Fwd P/E	Net debt
Mastercard	35.1 bn	59.9%	23.8x	27.7x	12.9 bn
Visa	44.5 bn	66.9%	23.1x	26.7x	10.1 bn
American Express	70.9 bn	20.3%	N/A	16.5x	13.3 bn
PayPal	34.1 bn	17.6%	7.8x	10.0x	3.0 bn

Source: StockAnalysis statistics pages, closing prices of 9 October 2026. Visa reports to September; Mastercard, American Express and PayPal to June. American Express is a bank-like issuer with credit risk, so EV/EBITDA is not meaningful.

Visa is the direct competitor: the same model, a larger volume base, a higher 66.9 percent margin, and a nearly identical valuation. American Express was selected because it runs a closed-loop network and competes for premium spending and merchant acceptance, but it carries credit risk and earns a 20 percent margin. PayPal was selected because it competes for online checkout and wallet volume, and trades at 10.0 times forward earnings, which shows how differently the market prices an intermediary that depends on merchants against a network that charges for access. Indirect and emerging competitors include national real-time systems (Brazil's PIX, India's UPI, the United States' FedNow), which move domestic debit volume off card rails, and stablecoin and agentic payment initiatives. Geographic competitors include China UnionPay and JCB in Asia, and Discover in the United States.

Peer comparison



Source: StockAnalysis, 9 October 2026. Units: percent, times, USD billion. Peers: MA, V (Visa), AXP (American Express), PYPL (PayPal).

A5. Competitive Differences

Mastercard's advantages are structural. Network effects link 3.7 billion cards with merchants that accept them worldwide; switching costs for issuers are contractual, technical, and commercial; brand and tokenisation standards are embedded in wallets; and scale of 175.5 billion transactions spreads fixed cost. The proof is in the numbers: operating margin rose from 54.4 percent in 2021 to 59.2 percent in 2025 while revenue grew 74 percent, which is the signature of pricing power and operating leverage rather than a cyclical spike.

The disadvantages are also real. Mastercard is number two in a duopoly, with a smaller revenue base and a lower operating margin than Visa (59.9 against 66.9 percent). Rebates and incentives rise faster than revenue. Regulators attack interchange and cross-border fees, and governments back domestic schemes. The temporary advantages are growth in cross-border travel and the post-pandemic reopening; the structural ones are the network itself, the brand, and the issuer relationships.

MOAT ASSESSMENT: VERY STRONG

> Sustained 59 percent operating margins, 94 percent ROIC, and network standards embedded across 3.7 billion cards support a very strong moat, with the rating limited by regulatory and rail-substitution risk rather than by competitive rivalry.

A6. Industry Trend

Payments revenue grew at 11 percent a year through 2024 and 3 percent in 2025 (McKinsey), and card volume continues to grow faster than the economy as cash declines. Mastercard's own volume grew 8.6 percent in 2025 and 8 percent in local currency in the second quarter of 2026, with cross-border volume up 12 percent and switched transactions up 9 percent. Within that, the structural trends are the migration from cash to cards, the growth of commercial and new payment flows, tokenised digital wallets, and the growth of services beyond payments. The cyclical elements are cross-border travel and consumer spending. Regulatory change is both: caps in the United Kingdom, European Union, Australia, and New Zealand have progressively reduced fee rates, while the Durbin cap on United States debit remains in force with conflicting court rulings in 2025.

The industry is therefore mature and consolidating in core markets, growing in services and emerging markets, and structurally transforming at the edges. What could reverse the trend is a recession that cuts cross-border travel, a large-market regulatory cap on credit interchange, or a faster-than-expected shift of everyday spending to account-to-account payments.

A7. Management

EXECUTIVE TEAM (ANNOUNCED JUNE 2026, EFFECTIVE 3 AUGUST 2026)

Name	Position	Background
Michael Miebach	Chief Executive Officer	Leads company strategy, including the agentic payments capability and partnerships in Mexico and the UAE cited in the second quarter 2026 release.
Ling Hai	Chief Financial Officer (from 3 August 2026)	Previously President of Asia Pacific, Europe, Middle East and Africa; succeeded Sachin Mehra.
Sachin Mehra	Chief Business Officer	Previously CFO; leads country operations, sales enablement, global partnerships and digital commercialisation.
Linda Kirkpatrick	Chief Services Officer	Previously President, Americas; succeeded Craig Vosburg.
Dimi Dosis	Chief Commercial Payments Officer	Previously President of Eastern Europe, Middle East and Africa; succeeded Raj Seshadri.
Jorn Lambert	Chief Product Officer	Leads consumer payments, including stablecoin, agentic and core payments.

Source: Mastercard, Mastercard leadership updates, 2 June 2026. Craig Vosburg becomes vice chair; Raj Seshadri becomes senior strategic advisor; Tim Murphy retires in October.

The June 2026 reshuffle replaces the CFO, the head of services, and the head of commercial payments in one move, and creates a Chief Business Officer role. It is a deliberate bench rotation rather than a departure of the leadership, but three of the top roles change within a single quarter, which adds execution risk to the second half of 2026.

Capital allocation has been disciplined and shareholder-oriented. Over 2021 to 2025 the company repurchased 47.2 billion USD of stock and paid 11.0 billion USD of dividends, against 62.9 billion USD of free cash flow (a 92 percent payout), and cut the share count 8.8 percent. The dividend rose 14.5 percent year on year to 3.48 USD, a 19 percent payout of earnings. Acquisitions have been modest (2.5 billion USD in 2024). The 2026 outlook of net revenue growth at the high end of low double digits is below the 14 percent reported in the second quarter and 15 percent in the first half, implying a conservative stance. Restructuring of 202 million USD in the first quarter of 2026 and litigation provisions of 82 million USD in the second recur in most periods and should not be treated as one-offs. Insider ownership is 0.03 percent, so the alignment comes from equity compensation (597 million USD in 2025) rather than personal stakes.

B. Evaluation

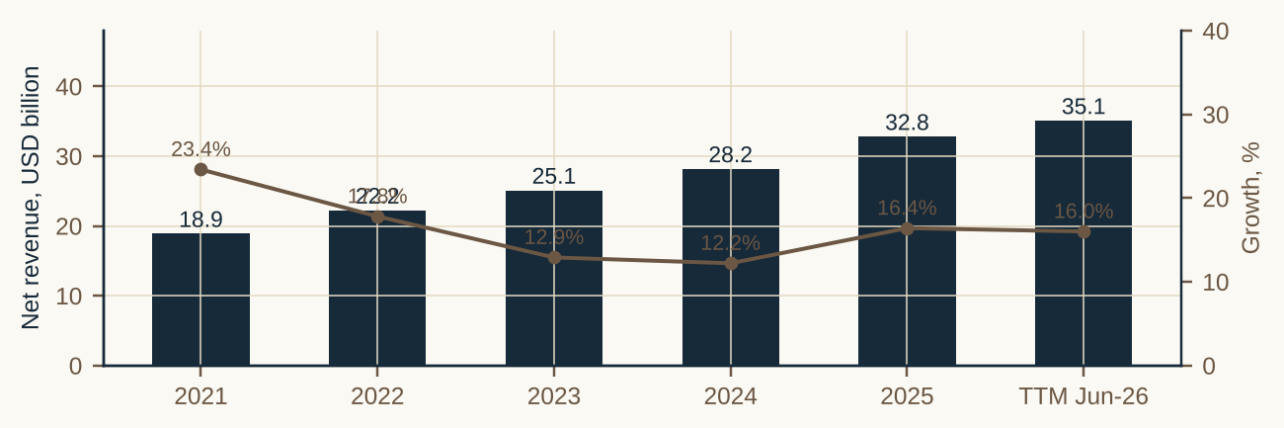
B1. Financial and Operating Metrics

PROFITABILITY, RETURNS, AND GROWTH, FISCAL YEARS TO DECEMBER

Metric	2021	2022	2023	2024	2025	TTM Jun-26
Revenue, USD bn	18.9	22.2	25.1	28.2	32.8	35.1
Revenue growth	23.4%	17.8%	12.9%	12.2%	16.4%	16.0%
Gross margin	N/M	N/M	N/M	N/M	N/M	N/M
Operating margin	54.4%	57.1%	58.0%	58.4%	59.2%	59.9%
EBITDA margin	58.9%	61.0%	61.7%	62.1%	63.1%	63.7%
Net margin	46.0%	44.7%	44.6%	45.7%	45.6%	46.3%
Diluted EPS, USD	8.76	10.22	11.83	13.89	16.52	18.18
ROIC (provider)	73.2%	76.8%	85.2%	89.6%	93.6%	93.8%
ROE (provider)	124.7%	144.0%	167.4%	190.6%	209.9%	241.2%
ROA (provider)	18.0%	20.8%	22.4%	22.7%	23.7%	24.1%

Source: StockAnalysis (S&P Global Market Intelligence data) and Mastercard filings. EBITDA is calculated as operating income plus depreciation and amortisation. N/M: Mastercard reports no cost of revenue, so gross margin is not meaningful. ROE is inflated by a small equity base after buybacks and is not comparable to ROIC.

Net revenue and growth



Source: Mastercard annual reports and StockAnalysis. Units: USD billion; growth in percent. Period: fiscal 2021 to 2025 and twelve months to June 2026.

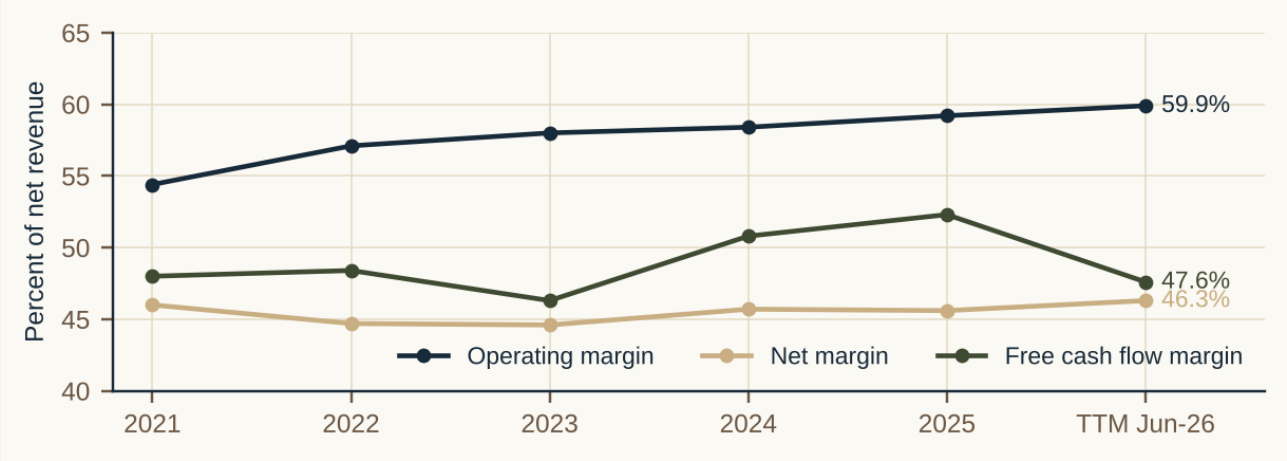
GROWTH, LEVERAGE, AND CASH METRICS

Metric	2021 to 2025 CAGR	2025	TTM Jun-26
Revenue CAGR	14.8%	16.4% growth	16.0% growth
EBITDA CAGR	16.8%	20.7 bn USD	22.4 bn USD
Diluted EPS CAGR	17.2%	16.52 USD	18.18 USD
Free cash flow CAGR	17.3%	17.2 bn USD	16.7 bn USD
Net debt / EBITDA	N/A	0.42x	0.58x
Total debt / EBITDA	N/A	0.96x	1.10x
Operating cash flow / net income	N/A	1.18x	1.07x
Capex / revenue	N/A	1.5%	2.1%
Asset turnover (revenue / year-end assets)	N/A	0.61x	N/A
Current ratio	N/A	1.04x	1.06x

Source: calculated from the reported statements in section C. Free cash flow is operating cash flow less capital expenditure and excludes 0.7 billion USD of annual capitalised software, which is shown as a separate investing line. Interest coverage is not shown because interest expense is not separately reported by the data provider; cash interest paid was 680 million USD against 21.0 billion USD of operating income. Inventory and receivable turnover are not meaningful for a network business.

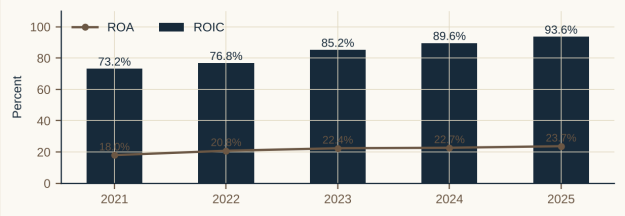
Mastercard compounds earnings faster (17.2 percent EPS CAGR) than revenue (14.8 percent) for three reasons: operating leverage lifted margin by 4.8 points, the share count shrank, and the tax rate is stable near 20 percent. Cash conversion above 1.0 times operating cash flow to net income reflects non-cash amortisation of customer incentives and capitalised software.

Operating, net, and free cash flow margins



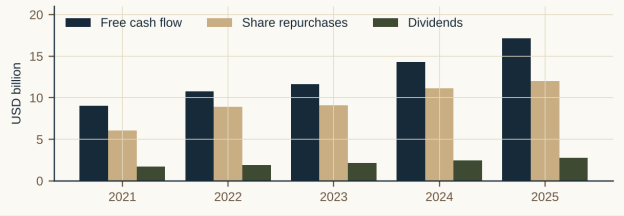
Source: Mastercard annual reports and StockAnalysis. Units: percent of net revenue. Period: fiscal 2021 to 2025 and twelve months to June 2026.

Return on invested capital and assets



Source: StockAnalysis, fiscal year ends. Units: percent.

Free cash flow and shareholder returns



Source: Mastercard cash flow statements. Units: USD billion.

B2. Risks

RISK REGISTER RANKED BY PROBABILITY TIMES IMPACT

Rank	Risk	Probability	Impact	Description
1	Regulation of interchange and fees	High	High	Caps in the EU, UK, Australia, New Zealand (cross-border cap from May 2026); conflicting rulings on the US Durbin cap in 2025; Brazil and EU rules on scheme operators.
2	Valuation compression	Medium	High	At 27.7 times forward earnings, a move to the peer-excluding-Visa range would remove a large share of the price even with earnings intact.
3	Account-to-account substitution	Medium	High	PIX, UPI, FedNow and regional schemes divert domestic debit volume; McKinsey sees agentic commerce putting 75 billion USD of 2030 industry revenue at risk.
4	Litigation	High	Medium	Merchant class actions and ATM surcharge provisions: 247 million USD in the first half of 2025 and 82 million USD in 2026 to date.
5	Cross-border and macro cycle	Medium	Medium	Cross-border volume (up 12 percent) is the highest-margin growth driver and is sensitive to travel and exchange rates.
6	Rising incentives	High	Medium	Rebates grew 22 percent in the second quarter of 2026 against 10 percent network revenue growth, compressing net yield.
7	Leadership transition	Medium	Low	CFO, services, and commercial payments heads all change in August 2026.

Rank	Risk	Probability	Impact	Description
8	Cybersecurity and technology failure	Low	High	Network outage or breach would damage the trust that underpins the franchise.
9	Financial leverage and rates	Low	Low	Net debt of 12.9 billion USD is 0.6 times EBITDA; refinancing needs are modest, though debt rose 24 percent in the first half of 2026.

Source: analyst ranking based on Mastercard 2025 Form 10-K, 2Q26 earnings release, and McKinsey Global Payments Report 2025.

The three risks most capable of permanently impairing shareholder value are interchange and fee regulation in a large market, substitution of card rails by government-backed account-to-account systems, and a de-rating of the multiple that would persist even if earnings keep compounding.

B3. Valuation

At 589.14 USD the stock trades at 32.4 times trailing earnings (18.18 USD diluted EPS), 27.7 times forward earnings (an implied forward EPS of about 21.3 USD), 23.8 times EV/EBITDA, 30.9 times free cash flow, and 15.1 times sales, with a PEG of 1.67 and a dividend yield of 0.59 percent. A buyback yield of 2.35 percent lifts the shareholder yield to 2.9 percent.

Against its own history the stock is 11 percent cheaper on P/E, 14 percent cheaper on EV/EBITDA, and 8 percent cheaper on P/FCF than the five-year average. Against peers it is in line with Visa (23.1 times EV/EBITDA, 26.7 times forward earnings) and far above American Express (16.5 times) and PayPal (10.0 times). The premium over those two is justified by the margin gap (59.9 percent against 20.3 and 17.6 percent), the absence of credit risk, and the visibility of cash flows, but it leaves little cushion if growth slips.

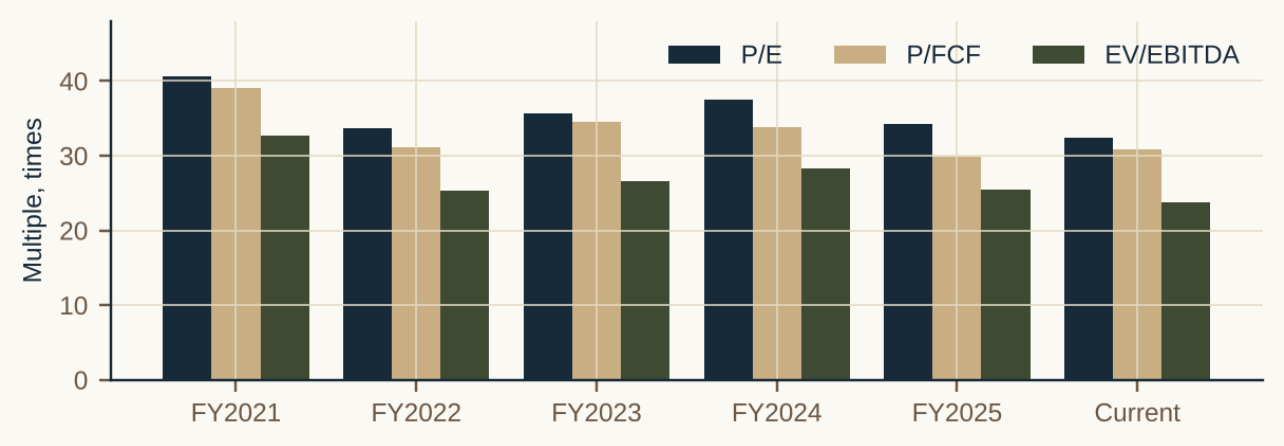
The cash flow valuation in section C5 gives a base case near 608 USD per share with a central range of about 480 to 690 USD. The price therefore embeds roughly 11 to 13 percent revenue growth in 2026 and 2027 fading to 5 percent by 2035, a stable free cash flow margin near 47 percent, a discount rate of 8.2 percent, and terminal growth of 3.5 percent. These expectations appear reasonable to slightly optimistic: they require growth to stay above the long-run industry rate for a decade, but they are below the 14.8 percent achieved from 2021 to 2025.

VALUATION HISTORY AT FISCAL YEAR ENDS AND CURRENT

Multiple	2021	2022	2023	2024	2025	Current
P/E	40.6x	33.7x	35.7x	37.5x	34.3x	32.4x
P/FCF	39.0x	31.1x	34.5x	33.8x	29.9x	30.9x
EV/EBITDA	32.7x	25.3x	26.6x	28.3x	25.4x	23.8x
Market cap, USD bn	353.1	334.3	400.0	483.3	512.6	516.1
Enterprise value, USD bn	359.6	340.5	407.7	490.3	521.0	529.0

Source: StockAnalysis valuation ratios, fiscal year ends and 9 October 2026. Five-year averages: P/E 36.4x, P/FCF 33.6x, EV/EBITDA 27.7x (calculated).

Valuation multiples, year ends and current



Source: StockAnalysis. Units: times. Period: fiscal 2021 to 9 October 2026.

B4. Capital Market and Stock Analysis

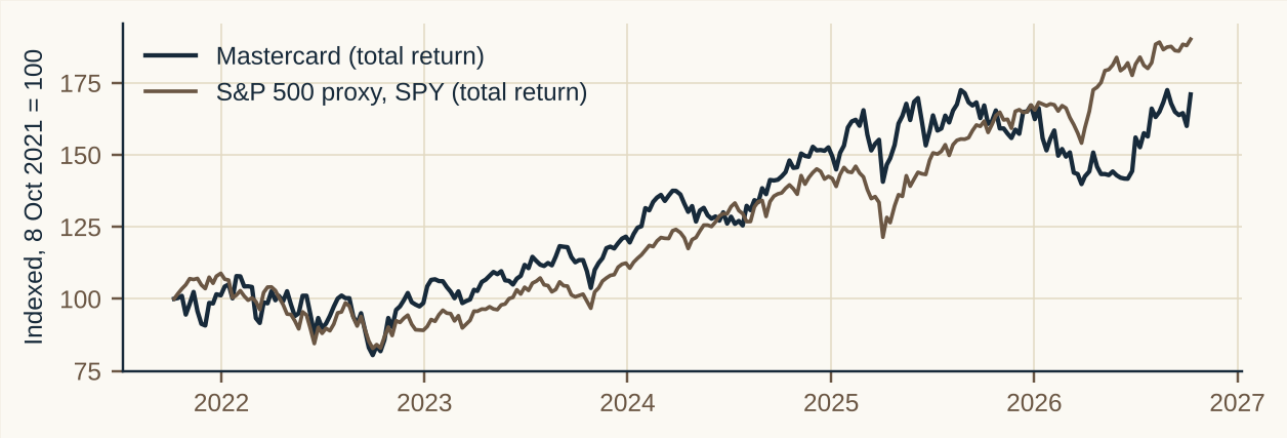
Mastercard closed at 589.14 USD on 9 October 2026, up 2.65 percent on the day on 2.4 million shares, and 6.8 percent higher on the week. Returns below are total returns using adjusted closing prices, compared with the SPDR S&P 500 ETF (SPY) as the benchmark.

PRICE RETURNS TO 9 OCTOBER 2026

Period	Mastercard	S&P 500 proxy	Difference
1 week	6.8%	1.2%	5.6 pts
1 month	1.9%	1.3%	0.6 pts
3 months	12.0%	3.4%	8.6 pts
6 months	18.5%	15.2%	3.3 pts
Year to date	2.3%	13.7%	-11.4 pts
1 year	2.3%	17.6%	-15.3 pts
3 years	50.7%	87.9%	-37.2 pts
5 years	71.0%	90.1%	-19.1 pts
10 years	510.7%	324.2%	186.5 pts

Source: Alpha Vantage weekly adjusted prices, to 9 October 2026; calculated cumulative total returns from the last weekly close on or before each start date.

Mastercard against the S&P 500 proxy, five years



Source: Alpha Vantage weekly adjusted close, 8 October 2021 to 9 October 2026. Units: index, start = 100.

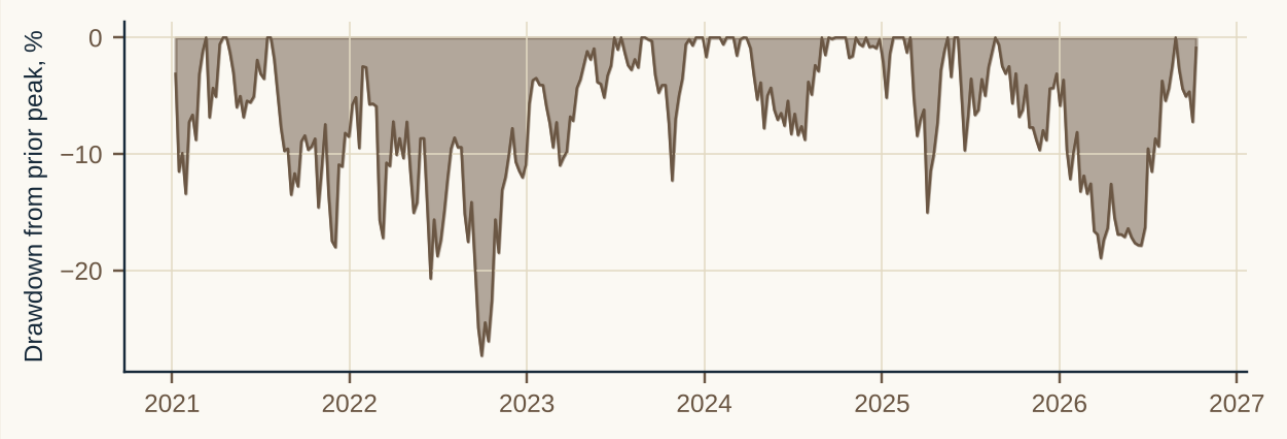
Mastercard has lagged the market over one, three, and five years but is well ahead over ten, and the one-year return of 2.3 percent is flat while trailing earnings per share grew about 22 percent, so the entire move in the multiple has come from compression rather than from a deterioration of results. The 2026 pattern is a base near 470 to 500 USD in May and June, a breakout to 540 in July, and a high of 601 USD (weekly high) on 25 August, followed by a pullback to 545 USD in early October and a sharp rebound on 9 October. On the technical side, the stock closed 3.0 percent above its 50-day average (572.11 USD) and 10.7 percent above its 200-day average (532.27 USD), with the RSI at 64.9, which is strong but not overbought. Resistance is the 600 USD zone (the August high) and support lies at 545 to 552 USD (early October lows) and then the 530 USD July base. The 9 October rebound came on volume of 2.4 million, below the 3.4 million of the previous trading day, so it is a price move without a confirmed volume breakout. These indicators describe trading structure only; they say nothing about whether 589 USD is a fair price for the cash flows, which is a fundamental question addressed in sections B3 and C5.

VOLATILITY AND RISK

Measure	Value	Basis
Annualised volatility, 1 year	20.8%	Weekly log returns
Annualised volatility, 3 years	19.8%	Weekly log returns
Annualised volatility, 5 years	22.4%	Weekly log returns
Downside volatility, 5 years	15.6%	Negative weekly returns only
Beta versus SPY, 1 / 3 / 5 years	0.58 / 0.79 / 0.89	Weekly returns
Beta, 5 years (provider)	0.76	Monthly, StockAnalysis
Correlation with SPY, 5 years	0.65	Weekly returns
Maximum drawdown since October 2021	-27.3%	Weekly closes, trough 30 September 2022
Maximum drawdown, full history from 2006	-59.3%	Weekly closes, trough 23 January 2009
Current distance from high (28 August 2026)	-0.9%	Weekly adjusted close

Source: Alpha Vantage weekly adjusted prices; StockAnalysis for the provider beta. Calculated by the analyst.

Drawdown from prior peak, weekly closes



Source: Alpha Vantage weekly adjusted close. Units: percent. Period: January 2021 to 9 October 2026.

C. Financial Statements

C1. Income Statement

Revenue grew 16.4 percent in 2025, with payment network up 12 percent and value-added services up 23 percent (reported and currency-neutral for the network; 21 percent currency-neutral for services). In the second quarter of 2026 reported growth was 14 percent (12 percent currency-neutral), with gross dollar volume of 2.9 trillion USD up 8 percent in local currency, cross-border up 12 percent, and switched transactions up 9 percent. Growth therefore comes from volume and transactions, price and mix (higher-margin services and cross-border), and acquisitions to a small degree (2.5 billion USD spent in 2024), with a currency tailwind of two points in 2026.
Operating leverage is evident: operating income grew 17.2 percent a year against 14.8 percent for revenue, lifting margin from 54.4 to 59.2 percent. The second quarter of 2026 delivered a 60.2 percent GAAP operating margin (61.1 percent adjusted) with operating expenses up 10 percent against revenue up 14 percent. General and administrative expenses were about 84 percent of operating expenses (3.1 billion USD in the quarter), advertising and marketing 217 million USD, and litigation provisions 82 million USD. The effective tax rate was 20.0 percent. Net income grew 14.6 percent a year, below operating income, as net margin stayed near 45 to 46 percent because interest and investment items and tax absorb part of the leverage. Margins are expanding.

INCOME STATEMENT SUMMARY, USD MILLION, US GAAP, FISCAL YEARS TO DECEMBER

Item	2021	2022	2023	2024	2025	TTM Jun-26
Net revenue	18,884	22,237	25,098	28,167	32,791	35,083
Operating income	10,268	12,687	14,547	16,452	19,401	21,006
Depreciation and amortisation	848	887	940	1,042	1,304	1,356
EBITDA (calculated)	11,116	13,574	15,487	17,494	20,705	22,362
Net income	8,687	9,930	11,195	12,874	14,968	16,257
Diluted EPS, USD	8.76	10.22	11.83	13.89	16.52	18.18
Shares outstanding, million	979.9	956.0	934.5	914.0	894.0	877.2
Stock-based compensation	273	295	460	526	597	615

Source: Mastercard annual and quarterly filings via StockAnalysis (S&P Global Market Intelligence). EBITDA calculated as operating income plus depreciation and amortisation. Reported GAAP figures; adjusted 2025 net income was 15.4 billion USD and adjusted EPS 17.01 USD.

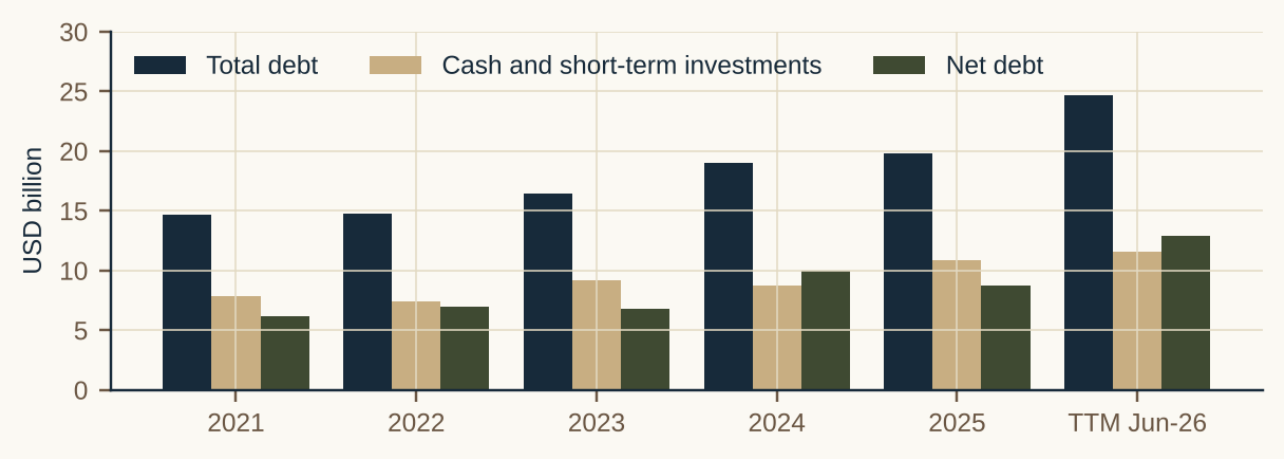
C2. Balance Sheet

BALANCE SHEET SUMMARY, USD MILLION, AT PERIOD END

Item	2021	2022	2023	2024	2025	Jun-26
Cash and short-term investments	7,894	7,408	9,180	8,772	10,898	11,609
Receivables	3,006	3,425	4,060	3,773	4,609	5,047
Goodwill	7,662	7,522	7,660	9,193	9,560	9,498
Other intangible assets	3,671	3,859	4,086	5,453	5,554	5,466
Total assets	37,669	38,724	42,448	48,081	54,157	57,691
Total debt (incl. leases)	14,673	14,793	16,456	18,986	19,833	24,643
Net debt	6,152	6,986	6,770	9,977	8,732	12,891
Total liabilities	30,257	32,347	35,451	41,566	46,411	52,085
Shareholders' equity	7,412	6,377	6,997	6,515	7,746	5,606
Tangible book value	-4,021	-5,083	-4,817	-8,161	-7,377	-9,353
Working capital	3,787	2,435	2,697	504	796	1,518

Source: StockAnalysis (S&P Global Market Intelligence), balance sheet. Net debt is total debt less cash and short-term investments as defined by the provider.

Debt, cash, and net debt



Source: StockAnalysis. Units: USD billion. Period: fiscal year ends 2021 to 2025 and June 2026.

Balance-sheet strength is high on cash-flow measures and weak on book measures. Net debt of 12.9 billion USD is 0.58 times trailing EBITDA and cash interest of 680 million USD is covered 31 times by operating income, so leverage is not a constraint. Equity of 5.6 billion USD and negative tangible book value of 9.4 billion USD are the result of 92.2 billion USD of cumulative treasury stock, a deliberate choice to return capital rather than a sign of distress. Debt rose 4.8 billion USD in the first half of 2026 to 24.6 billion USD, funding buybacks that exceeded free cash flow. The current ratio is 1.06 times, with working capital only 1.5 billion USD, because settlement balances and accrued customer incentives (11.7 billion USD) sit in current liabilities. Goodwill and intangibles total 15.0 billion USD, 26 percent of assets, mostly from acquisitions of 2021 to 2024; an impairment is the main book-value red flag. Receivables grew 24 percent from the end of 2023 to June 2026 against revenue growth of 40 percent, so no deterioration is visible. Off-balance-sheet obligations are litigation reserves and customer incentive commitments described in Note 19 of the 2025 Form 10-K.

C3. Cash Flow Statement

CASH FLOW SUMMARY, USD MILLION

Item	2021	2022	2023	2024	2025	TTM Jun-26
Operating cash flow	9,463	11,195	11,980	14,780	17,648	17,437
Capital expenditure	-407	-442	-371	-474	-489	-735
Free cash flow	9,056	10,753	11,609	14,306	17,159	16,702
Capitalised software and intangibles	-407	-655	-717	-720	-726	-727
Acquisitions	-4,436	-313	0	-2,511	0	0
Share repurchases	-6,037	-8,894	-9,121	-11,132	-12,018	-16,038
Dividends	-1,741	-1,903	-2,158	-2,448	-2,756	-2,919
Net debt issued	1,374	399	1,554	2,624	492	5,680
Financing cash flow	-6,555	-10,328	-9,488	-10,836	-14,179	-13,226

Source: StockAnalysis (S&P Global Market Intelligence), cash flow statement. Free cash flow is operating cash flow less capital expenditure.

Cash generation supports earnings. Free cash flow exceeded net income every year, at 1.04 to 1.15 times, because depreciation, amortisation of customer incentives (2.1 billion USD in 2025), and stock compensation (0.6 billion USD) are non-cash. After capitalised software, 2025 free cash flow was 16.4 billion USD, 50.1 percent of revenue, which is the conservative measure. Free cash flow margin was 52.3 percent in 2025 and fell to 47.6 percent on a trailing basis because working capital absorbed 3.4 billion USD (receivables and other operating assets) and capital expenditure rose to 735 million USD. Net income and cash generation therefore diverge modestly: in the last twelve months free cash flow of 16.7 billion USD is only 1.03 times net income of 16.3 billion USD. Over the last twelve months buybacks of 16.0 billion USD plus dividends of 2.9 billion USD exceeded free cash flow by 2.3 billion USD, which was funded by 5.7 billion USD of net borrowing. That is sustainable at current leverage, but the pace cannot continue indefinitely.

C4. Forecasting and Projections

Revenue is modelled as a function of volume, price and mix. Gross dollar volume has grown 8 to 9 percent, switched transactions 9 percent, and value-added services 20 to 23 percent; the guidance for 2026 is the high end of low double digits for revenue and the high end of high single digits for GAAP operating expenses, which implies margin expansion of about one to two points. First-half 2026 growth was 15 percent, so a 13 percent year is a reasonable estimate. Beyond 2026 growth fades by 10 percent of its prior rate each year (11.5 percent in 2027, 8.4 percent in 2030). Gross margin is not applicable; operating margin is assumed stable near 60 percent as technology and incentive costs rise with volume, and free cash flow margin 47 percent after capitalised software, tax, and working capital. Capital expenditure of 1.5 to 2.1 percent of revenue is mostly growth and maintenance combined; working capital will remain a modest drag. Market share evolution is not disclosed; the share of global payments revenue pool (1.3 percent in 2025) is rising slowly.

BASE CASE PROJECTION, USD MILLION, ANALYST ASSUMPTIONS

Item	2026E	2027E	2028E	2029E	2030E
Revenue growth	13.0%	11.5%	10.4%	9.3%	8.4%
Net revenue	37,054	41,315	45,591	49,838	54,016
Free cash flow (47% of revenue)	17,415	19,418	21,428	23,424	25,388

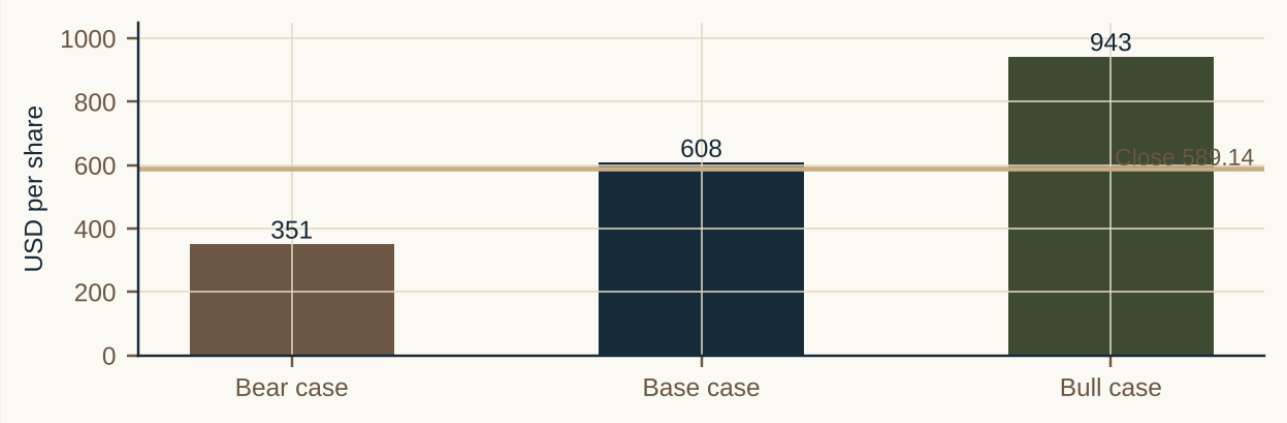
Source: analyst projection built from reported 2025 revenue of 32,791 million USD and company guidance. These are estimates, not company forecasts.

SCENARIO ASSUMPTIONS

Scenario	2026 growth	Fade	FCF margin	WACC	Terminal g
Bear	11.0%	0.85	43%	9.2%	3.0%
Base	13.0%	0.90	47%	8.2%	3.5%
Bull	14.0%	0.92	50%	7.7%	4.0%

Source: analyst assumptions. Fade is the annual multiplier applied to growth after 2027, with 2027 growth equal to 9.0, 11.5 and 13.5 percent respectively.

Value per share by scenario



Source: analyst DCF model, inputs as in the scenario table; price as of 9 October 2026. Units: USD per share.

The sensitivities are in section C5. Revenue growth and margin matter about equally: each one point of free cash flow margin is worth roughly 13 USD per share, and each one point of 2027 growth about 30 USD.

C5. Discounted Cash Flow (DCF) Model

SENSITIVITY: WACC (ROWS) AGAINST TERMINAL GROWTH (COLUMNS), VALUE PER SHARE, USD

WACC	2.5%	3.0%	3.5%	4.0%	4.5%
7.5%	604	652	712	789	892
8.0%	547	584	631	688	762
8.5%	499	529	565	610	665
9.0%	458	483	512	547	590
9.5%	424	444	468	496	530

Source: analyst DCF model. Base inputs: revenue growth, margin, and fade as in the base case.

SENSITIVITY: 2027 REVENUE GROWTH (ROWS) AGAINST FREE CASH FLOW MARGIN (COLUMNS), VALUE PER SHARE, USD

2027 growth	43%	45%	47%	50%	52%
9.5%	502	526	551	587	611
10.5%	528	553	579	617	642
11.5%	555	582	608	648	674
12.5%	584	611	639	681	709
13.5%	613	642	672	715	745

Source: analyst DCF model at 8.16 percent WACC and 3.5 percent terminal growth. The 11.5 percent row and 47 percent column is the base case.

DCF assumptions. Valuation date 9 October 2026; ten annual cash flows from 2026 to 2035, discounted from year end with a 0.22 year offset for the elapsed part of 2026. Revenue base 32,791 million USD (2025); growth 13.0 percent in 2026, 11.5 percent in 2027, then fading 10 percent a year to 5.0 percent in 2035. Free cash flow is 47 percent of revenue, after cash taxes at the reported 20 percent rate, capital expenditure of 1.5 to 2.1 percent of revenue, capitalised software, and working-capital investment. WACC 8.16 percent (provider estimate, with a 0.76 beta), terminal growth 3.5 percent. Terminal value is 760.9 billion USD undiscounted and 67.6 percent of enterprise value; enterprise value is 545.7 billion USD, net debt 12.9 billion USD, shares 876.0 million. Result: base 608 USD per share, with a central range of about 480 to 690 USD (WACC 8.0 to 9.0 percent, terminal growth 3.0 to 4.0 percent). This is a valuation range, not a precise intrinsic value.

C6. Leveraged Buyout (LBO) Model

Not applicable. With an enterprise value of 529 billion USD, no financial sponsor could assemble the equity and debt required, and a network business with regulatory oversight is not a realistic leveraged buyout candidate.

D. Investment Thesis

Bull Case

Revenue growth holds above 12 percent through 2030 as value-added services grow near 20 percent and cross-border volume stays strong, margins expand toward 62 percent as the 2026 restructuring pays back, regulators leave interchange untouched, and buybacks keep reducing the share count 2 percent a year. Free cash flow reaches 50 percent of revenue. Discounted at 7.7 percent with 4.0 percent terminal growth, that supports about 940 USD per share, which requires the multiple to hold and earnings to compound near 17 percent a year.

Bear Case

Growth slows to 9 percent and fades quickly as account-to-account rails and regulatory caps erode domestic volume, rebates keep rising faster than revenue, the free cash flow margin slides to 43 percent, and the market demands a 9.2 percent discount rate. The model gives about 350 USD per share, a 40 percent decline, with the multiple falling to the level of lower-quality payment peers. A technology failure or a large legal outcome would add to the damage.

Base Case

Revenue grows 13 percent in 2026 and fades to 8.4 percent by 2030, with free cash flow near 47 percent of revenue and an 8.2 percent cost of capital. That gives about 608 USD per share, close to the 589.14 USD price, so the base case implies a return close to the earnings and dividend yield rather than a rerating. Earnings per share should compound around 12 to 15 percent as buybacks add two points to net income growth.

Catalysts

POTENTIAL CATALYSTS

Event	Timing	Why it matters
Third quarter 2026 results	Late October 2026 (date to be confirmed by the company)	First quarter under the new CFO; tests the 2026 guidance and incentive growth.
Share repurchases	Ongoing; 7.8 billion USD authorised as of 27 July 2026	Reduces share count 2 percent a year; the authorisation covers about two quarters at the current pace.
Regulatory rulings	2026 and 2027	Durbin cap litigation, EU and Brazil scheme rules, and New Zealand cross-border caps determine the fee base.
Value-added services launches	Ongoing	Agentic payments, tokenisation and stablecoin initiatives could lift services above 20 percent growth.
Leadership transition	From 3 August 2026	Smooth handover to the new CFO supports guidance accuracy.

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive	Negative
Cross-border volume growth	Highest-margin fee line	Above 12 percent	Below 8 percent
Value-added services growth	Mix shift and margin driver	Above 20 percent	Below 15 percent
Rebates and incentives growth	Cost of retaining issuers	Below network revenue growth	Above 20 percent for two quarters
Operating margin	Proof of operating leverage	Above 60 percent	Below 57 percent
Net debt to EBITDA	Buyback funding capacity	Below 0.6 times	Above 1.0 times
Regulatory rulings	Fee base	No new caps	Binding cap on credit interchange in a large market

E. Final Investment Framework

BUSINESS QUALITY	Exceptional. A network with negligible credit risk, 63 percent EBITDA margin and 1.5 percent capital intensity.
FINANCIAL QUALITY	Exceptional. Free cash flow above net income in every year since 2021, though the trailing free cash flow margin fell to 47.6 percent.
COMPETITIVE POSITION	Very strong. Second in a global duopoly; moat rated Very Strong, limited by regulation and rail substitution.
MANAGEMENT	Good. Disciplined capital returns and conservative guidance; a simultaneous change of CFO, services, and commercial heads adds execution risk.
INDUSTRY	Mature core with growth in services and cross-border; payments revenue growth slowed to 3 percent in 2025.
VALUATION	Full but not stretched against its own history: 32.4 times earnings against a 36.4 times five-year average, with the base case close to the price.
TECHNICAL AND MARKET STRUCTURE	Constructive: above the 50-day and 200-day averages, near the 600 USD resistance, RSI 64.9, though one-year relative performance is weak.
PRINCIPAL RISK	Interchange and cross-border fee regulation in a major market.
PRINCIPAL CATALYST	Evidence in the third quarter 2026 results that services growth near 20 percent offsets slower network growth.
KEY VARIABLE	The free cash flow margin on a growing revenue base, driven by rebates and incentives relative to network revenue.
THESIS INVALIDATION	The investment thesis would become materially weaker if revenue growth falls below 8 percent for two consecutive years, operating margin falls below 57 percent, rebates grow more than 20 percent for four consecutive quarters, or a binding cap on credit interchange is imposed in the United States or the European Union.

F. Data Table

Category	Metric	Current	Prior year	3Y / 5Y trend
Market	Market cap, USD bn	516.1	512.6 (FY25)	353.1 (FY21)
Market	Enterprise value, USD bn	529.0	521.0 (FY25)	359.6 (FY21)
Market	Share price, USD	589.14	575.92 (end 2025)	+71.0% 5Y
Growth	Revenue growth	16.0% TTM	16.4% (FY25)	14.8% CAGR
Profitability	Gross margin	N/M	N/M	N/M
Profitability	Operating margin	59.9% TTM	59.2% (FY25)	+4.8 pts since FY21
Profitability	Net margin	46.3% TTM	45.6% (FY25)	45 to 46% range
Profitability	ROE	241.2%	209.9% (FY25)	124.7% (FY21)
Profitability	ROIC	93.8%	93.6% (FY25)	73.2% (FY21)

Category	Metric	Current	Prior year	3Y / 5Y trend
Cash flow	Operating cash flow, USD bn	17.4 TTM	17.6 (FY25)	16.9% CAGR
Cash flow	Free cash flow, USD bn	16.7 TTM	17.2 (FY25)	17.3% CAGR
Leverage	Net debt / EBITDA	0.58x	0.42x (FY25)	0.55x (FY21)
Valuation	P/E	32.4x	34.3x (FY25)	36.4x 5Y average
Valuation	EV/EBITDA	23.8x	25.4x (FY25)	27.7x 5Y average
Valuation	P/FCF	30.9x	29.9x (FY25)	33.6x 5Y average
Market	Beta	0.76 (provider)	0.58 (1Y)	0.89 (5Y weekly)
Market	Volatility	20.8% (1Y)	19.8% (3Y)	22.4% (5Y)
Market	Maximum drawdown	-27.3% (since Oct 2021)	N/A	-59.3% (since 2006)

Source: StockAnalysis, Alpha Vantage, Mastercard filings; trend column and averages calculated by the analyst. Prior year share price is the last weekly close of 2025.

G. Sources and Methodology

Data cross-check

Financial statements were taken from the data provider's standardised filings and cross-checked against the Mastercard 2025 Form 10-K and the 2Q26 and 4Q25 earnings releases: net revenue of 32.8 billion USD, net income of 15.0 billion USD, diluted EPS of 16.52 USD, operating cash flow of 17.6 billion USD, and second-quarter 2026 net revenue of 9,277 million USD all match. Where the provider and the company differ, the company is preferred. The provider's trailing EBITDA (22.2 billion USD) differs slightly from the 22.4 billion USD calculated here; the report uses the calculated figure for ratios. The provider's net debt of 12,891 million USD is used throughout. Adjusted metrics are quoted only where the company reports them and are always shown next to the GAAP figure. Prices are close-to-close adjusted for dividends and splits. Fiscal years are calendar years for Mastercard; Visa's fiscal year ends in September.

Source list

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Calculations

Calculated by the analyst: EBITDA (operating income plus depreciation and amortisation), growth rates and CAGRs, free cash flow after capitalised software, net debt to EBITDA, cash conversion, returns, volatility, beta, correlation, drawdowns, valuation averages, and the DCF model. Volatility and beta use weekly log returns of adjusted closing prices; the benchmark is the SPDR S&P 500 ETF.

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